E-ISSN: 3139-0668
Volume: I, Issue: II

https://kalingauniversity.ac.in/International-Journal-of-Research-and-Studies

INTERNATIONAL JOURNAL OF RESEARCH AND STUDIES

Month/Year : April-June, 2026 | DOI: https://doi.org/10.5281/zenodo.23331263

RECEIVED 15.05.2026

ACCEPTED 23.05.2026

PUBLISHED 30-06-2026

FIANANCIAL LITERARY AND FINANCIAL REPORTING PRACTICES ADAPTATION AND COMPLIANCE AMONG SMES IN RAIPUR

Shivansh Jaiswal - Research Scholar

Rishikesh Sahu - Research Scholar

Department of BCOM, Kalinga University, Raipur, Chhattisgarh

Shubham Singh - Assistant Professor

Faculty of Commerce & Management, Kalinga University, Raipur, Chhattisgarh

ABSTRACT:

This study measures how the financial knowledge and digital accounting adoption shape reporting behaviour and statutory compliance among small and medium enterprises operating in the Raipur city of Chhattisgarh. Small Medium Enterprises support local employment, trade, production and entrepreneurial activity, yet many of them continue to operate with struggle regarding daily operations like organised bookkeeping, tax documentation, GST filing and preparation of dependable financial statements. This study uses a descriptive and empirical research design , primary information was obtained from 80 selected SMEs in Raipur through a structured questionnaire responded by business owners, managers, accountants and finance-related staff. The data were analyzed through percentage analysis, reliability testing, descriptive statistics and simple linear regression. The data collected for the study is analysed using statistical tools like percentage analysis, reliability testing, descriptive statistics and simple regression regression method. As a result of this data analysis we came to the conclusion of the the study "that there is significant association of financial literacy with the compliance behaviour of SMEs. The study highlights the ability to use and implement accounting systems altogether helps to improve the as compliance status of the organisation. This as a outcome lead to strengthen of financial reporting practices. The accuracy of recording, transparency and adherence to the statutory compliance depends upon the financial awareness. Providing workshops and training can have significant impact on more wider usage of accounting software. Increase in financial literacy can improve the quality of SME reporting standards in the Raipur Region.

Keywords: *SME accounting, financial literacy, compliance behaviour, digital bookkeeping, financial reporting, accounting software, Raipur.*

1. Introduction

India's regional economy constitutes of numerous number of small and medium enterprise. India's employment depends largely on these small and medium enterprises . They motivates self employment , increase entrepreneur ecosystem and contribute to India's GDP Chhattisgarh which is mineral rich . Chhattisgarh which is mineral rich . This makes Chhattisgarh suitable for establishing manufacturing, trading, retailing and construction linked work. These industries constitutes the economic structure of Chhattisgarh.

To accurately evaluate the financial status like "liquidity ,profitability and cash movement " , business need to adopt strong financial reporting practices. For adequately reporting the finance profile ,the organisation need to maintain "cashbook, sales and purchase" records . Other important books that need to be maintained are inventory register, debtors and creditors record.

Compliance behaviour includes how well companies adhere to accounting standards, tax laws, GST guidelines, audit practices and other regulatory obligations. While all SMEs are under an obligation to maintain accounts and make the appropriate returns, for many small companies reporting is considered to be more of a legal or tax necessity. In a number of instances, an account is generated for a loan or a statutory account simply to complete it for filing it with the Tax authorities and not for internal planning and managerial control.

Finance literacy and accounting software usage have increasingly come into play as two potential areas of improvement in SME reporting. Training financial literacy helps owners and managers to understand the accounting jargon, how to read financial statements, to identify tax responsibilities and to see the importance of timely compliance. Similarly, software based systems like Tally, Busy, Marg, Zoho Books, QuickBooks, Excel based formats and GST enabled systems provide fast, accurate and easily accessible accounting information.

The present study thus aims at understanding the state of financial reporting practices and compliance behaviour of SMEs at Raipur region invariably taking financial literacy and usage of accounting software as a model variable. The study has selected 80 enterprises and uses regression analysis to determine if financial literacy influences the compliance behaviour and, whether software usage enhances the reporting.

2. Review of Literature

Research on SME financial reporting repeatedly shows that smaller firms often maintain limited, informal or tax-oriented accounting records. Shabarisha and Manjunatha (2013) noted that Indian SME financial

statements tend to serve owner-managers, tax departments and government agencies, but may not always provide the credibility, consistency or comparability expected by lenders and investors.

Asaduzzaman (2017) reported that many SMEs prepare records such as income statements, balance sheets, bank statements and cash-flow information. Such records are useful for monitoring payables, receivables, credit needs and performance. However, systematic bookkeeping may be avoided when entrepreneurs consider it costly, difficult, time-consuming or likely to increase tax exposure.

Financial literacy is widely treated as a key influence on accounting behaviour. Thadeus, Simiyu and Ombaba (2023) found that financial knowledge supports accounting practices and financial performance among micro, small and medium enterprises. Owners who understand accounting and taxation are better positioned to read financial statements, monitor obligations and use accounting information in business decisions.

A review by Pratama et al. (2025) linked better MSME reporting quality with financial literacy, technology adoption and governance practices. Their work suggests that financial knowledge becomes more effective when supported by appropriate digital tools and internal control arrangements.

Compliance among SMEs is also shaped by regulatory awareness, cost of compliance, access to accountants, perceived usefulness of reporting and fear of penalties. Jamil et al. (2021) showed that legal obligations significantly influence SME compliance with financial reporting standards, indicating that firms are more likely to comply when reporting is demanded by tax authorities, banks or other institutions.

Digital accounting has received increasing attention as a practical solution to weak bookkeeping systems. Relhan (2013) observed that e-accounting allows SMEs to generate financial information more efficiently than manual methods. Software applications assist in invoicing, ledger posting, GST computation, bank reconciliation, inventory tracking and preparation of financial statements.

Antoni (2025) found that accounting capability, information systems and compliance affect MSME reporting quality through accountability. Similarly, Widiyastuti et al. (2025) reported that accounting understanding, accounting information systems and internal control systems have a favourable effect on the quality of financial reports.

Poor reporting creates further constraints because banks and financial institutions depend on reliable statements to assess repayment capacity and business soundness. Rajamani et al. (2022) found that access-to-finance barriers restrict MSME growth in India, and weak records can enlarge the information gap between lenders and small firms.

From a behavioural perspective, Atarwaman et al. (2026) found that many MSMEs interpret financial reporting as a practical cash-monitoring activity rather than a formal compliance requirement. Their findings indicate that ease of reporting, business routine, experience and perceived usefulness influence the way small firms comply with reporting expectations.

Overall, the literature points to financial literacy, digital accounting adoption, legal awareness, accounting competence and professional support as important drivers of reporting quality and compliance. However, empirical evidence focused specifically on SMEs in the Raipur region remains limited. This study addresses that local gap.

3. Research Gap

With the review of literature, we found the gap in research about the level of financial literacy in Raipur City of Chhattisgarh. There has been significant gap about the level of financial literacy and compliance regulations in small and medium enterprises. Therehas been significant gap about the understanding of software usage and reporting practices among the SMEs in Raipur.

.4. The objectives of the study were to:

● To examine the association between financial literacy and compliance behaviour of SMEs. ●The assess the stage of financial literacy among SMEs of Chhattisgarh.

● To measure the usage of accounting software in SMEs operations

5. Hypotheses of the Study

Based on the aims and literature search, the following hypotheses were tested: H1: Financial literacy is positively significant in relation to compliance behaviour of SMEs at Raipur region.

H2: There is significant positive effect of the usage of accounting software on the financial reporting practices of SME's in the Raipur region.

6. Research Methodology

This section explains the research plan followed to examine the influence of financial literacy and accounting software usage on SME compliance behaviour and financial reporting practices. The methodology is aligned with the objectives and hypotheses and is centred on 80 selected SMEs operating in the Raipur region.

6.1 Research Design

This study followed descriptive and empirical research design. The descriptive research portion helps to explain the present condition of financial literacy, accounting software application adoption, regulatory compliance and reporting practices among selected SMEs. The empirical research portion represents the analysis of primary data collected directly from respondents and analysed statistically for hypothesis testing.

This design is appropriate for the study not because it describes the existing accounting and compliance practices as well as also tests whether financial literacy and software usage have measurable effects on compliance and reporting outcomes.

6.2 Nature and Approach of the Study

A quantitative research approach is adopted because the major aspects of the study that is financial literacy , accounting software adaptation were measured using structured questionnaire items and numerical scale values. Financial literacy, compliance behaviour, accounting software usage and financial reporting practices were measured on a five-point Likert scale. The numerical data enabled the use of descriptive statistics and regression analysis.

6.3 Area of the Study

The study was conducted in the Raipur city of Chhattisgarh. Raipur is the capital of Chhattisgarh making it a major commercial and industrial centre with SMEs engaged in trading, manufacturing, services, retail, construction-related work, food processing, transport and other small-scale operations. The Raipur city is appropriate for this study because SMEs are increasingly required to maintain formal records, file GST returns, prepare banking documents and adopt digital accounting practices.

6.4 Population of the Study

The Sample population consists of SMEs operating within the Raipur industrial region. The target respondents comprises of manufacturing owners, managers, professional accountants and finance-related personnel because these individuals are directly involved in maintaining records, preparing statements, filing returns and ensuring compliance with accounting and statutory requirements.

6.5 Sample Size

The sample comprised 80 selected SMEs. This sample size was considered appropriate for a focused regional study using descriptive analysis and simple linear regression. The sample covered manufacturing, trading, services and retail businesses so that different types of local enterprises were represented.

6.6 Sampling Technique

For the study we used Purposive sampling and convenience sampling techniques for the data collection. Purposive sampling technique was appropriate because the study required information from persons who are engaged in the work profile of accounting records, GST filing, taxation or compliance practices. Convenience sampling technique is applied ubecause many SME owners and accountants are difficult to access and may be reluctant to share finance-related information. Therefore, accessible and willing respondents were included.

6.7 Sources of Data

Both Primary and Secondary sources has been used for the research. Primary data has been collected from the structured questionnaire to selected SMEs experts in Raipur region. So it's first hand info straight from people who work in those businesses. Secondary data, we got this from existing sources like research articles and books, MSME reports, Govt publications, ICAI Materials and Gst documents and other relevant records. Why we did this? All these materials helped them build the theory part find the research gap and create the questionnaire.

6.8 Data Collection Instrument

With the review of literature, we came to understand the level of financial literacy in India. Because of moderate to low level of literacy, the questionnaire forbthe study is designed in simple language . Our major respondents are "Business owners , managers, accountant and financial professionals. They gather and analyze the data is systematic way., the questionnaire is divided in many sections. The sections are divided into "SME profile financial literacy, regulatory knowledge, level of compliance, use of accounting software and adopted for accounting usage."

The demographic profile of the SMEs is segregated in many portions. It include Business type, nature of ownership, years of adoption of accounting software. The term which is widely used in the study is financial literacy. To measure the level of financial literacy, the aspects which are checked "awareness of accou ting concept , statement , taxation , Gst and record maintained ".

The other aspect which is compliance of regulatory is measured by " no.of filling of income tax returns, GST returns and maintenence od statutory records compliance with the ICAI standards.

The section of accounting usage is measured by

- use of software
- level of wage

- name of software- Tally , Zoho Books
- Excel and other GST compatible tools. The assessment of financial status is measured by
- preparation of profit and loss accounts,
- Balance sheet

cash record and GST related reports.

6.9 Measurement Scale

The collected responses were recorded on a five-point Likert scale, where higher scores indicated stronger agreement with the statement. This scale is appropriate for the study because it suitably measures the perceptions, awareness and behavioural tendencies of the respondent into numerical form for statistical analysis.

Table 1. Likert Scale Used in the Questionnaire

Scale value	Response
1	Strongly disagree
2	Disagree
3	Neutral
4	Agree
5	Strongly agree

6.10 Regression Models

Simple linear regression was applied for hypothesis testing. The first model measures the financial literacy and predicts compliance behaviour:

$CB = \beta 0 + \beta 1FL + \varepsilon$

Where CB indicates the compliance behaviour, FL denotes financial literacy, β0 is the constant, β1 is the regression coefficient and ε is the error term.

The second model examines whether financial literacy significantly predicts compliance behaviour among SMEs.

$FRP = \beta 0 + \beta 1ASU + \varepsilon$

Where **FRP** represents financial reporting practices, **ASU** represents accounting software usage, **β0** is the constant, **β1** is the regression coefficient and ε is the error term.

6.11 Reliability of the Instrument

Reliability of the questionnaire was assessed using Cronbach's Alpha. The test was applied to examine the internal consistency financial literacy, compliance behaviour, accounting software usage and financial reporting practices. A value of 0.70 or above was treated as acceptable for internal consistency, indicating that the items under each construct measured the intended concept reliably.

7. Data Analysis and Results

This section presents the analysis of data collected from selected 80 SMEs from Raipur region. It includes respondent profile, reliability analysis, descriptive statistics, regression results and hypothesis testing. The study examines the two main relationships (i) the effect of financial literacy on compliance behaviour (ii) effect of accounting software usage on financial reporting practices.

7.1 Profile of Respondents

Table 2. Profile of Sampled SMEs and Respondents

Variable	Category	Frequency	Percentage
Type of business	Manufacturing	22	27.50
	Trading	25	31.25
	Service	18	22.50
	Retail	15	18.75
	Total	80	100.00
Years of operation	Below 5 years	24	30.00
	5-10 years	34	42.50
	Above 10 years	22	27.50
	Total	80	100.00
Accounting system	Manual	20	25.00

Variable	Category	Frequency	Percentage
	Software-based	36	45.00
	Manual and software-based	24	30.00
	Total	80	100.00
Respondent type	Owner	36	45.00
	Manager	20	25.00
	Accountant	24	30.00
	Total	80	100.00

Note. N = 80.

Trading sector constituted the highest portion of business operating in the SMEs. Table 1 indicates as 31.25% of the total sample. 27.50% comes from manufacturing sectors. 22.59% comes from service enterprises. This tables help us to have wider understanding of financial reporting practices in Raipur City of Chhattisgarh.

In the terms of operation, in Raipur it started developing after 2000. The data of Table 2 showed most SMEs are operating from 5-10years constituting 42.50%.

This indicates the SMEs in Raipur are relatively new as compared to SMEs of other states of India.

45.00% of SMEs have implemented software based accounting systems. Whereas the companies using both manual and software accounting systems are 30.00% . Only 25.00% depends stills depends on the manual book based accounting system. This indicates a noticeable movement towards digital accounting practices among SMEs in the Raipur region. The respondent profile further shows that 45.00% of responses were obtained from owners, 30.00% from accountants, and 25.00% from managers.

.

7.2 Reliability Analysis

Table 3. Reliability Statistics of Major Constructs

Construct	Number of items	Cronbach's Alpha	Status
Financial literacy	5	0.821	Acceptable

Construct	Number of items	Cronbach's Alpha	Status
Compliance behaviour	5	0.846	Acceptable
Accounting software usage	5	0.803	Acceptable
Financial reporting practices	5	0.872	Acceptable

Note. Values above 0.70 indicate acceptable internal consistency.

The reliability results denoted that all variables have Cronbach's Alpha values above the acceptable threshold of 0.70. Financial reporting practices variable recorded the highest reliability value of 0.872, the compliance behaviour at 0.846, financial literacy at 0.821, and accounting software usage at 0.803. These results validates that the questionnaire items used in the study were consistent and suitable for further statistical analysis.

7.3 Descriptive Statistics of Main Constructs

Table 4. Descriptive Statistics

Construct	Mean score	Standard deviation	Interpretation
Financial literacy	3.78	0.64	Moderate to high
Compliance behaviour	3.82	0.61	Moderate to high
Accounting software usage	3.95	0.68	High
Financial reporting practices	3.88	0.66	Moderate to high

Note. Responses were measured on a five-point scale where 1 = strongly disagree and 5 = strongly agree.

The average score for financial literacy was 3.78 denoting that the selected SMEs had a moderate to high level of financial understanding. This reveals that most respondents had reasonable awareness of accounting concepts, tax requirements, and financial record-keeping.

The mean score of Compliance behaviour was 3.82 indicating that SMEs generally followed accounting, taxation, GST, and statutory reporting requirements. Accounting software usage construct recorded the highest mean score of 3.95, affirming relatively high adoption of software-based accounting tools among the sampled

SMEs in Raipur. Financial reporting practices construct recorded a mean score of 3.88, indicating that the SMEs are maintaining financial records at a moderate to high level.

On the whole descriptive analysis results denoted that SMEs in the Raipur region are progressively moving towards more adaptation of systematic and digitally supported financial reporting practices.

8. Regression Analysis and Hypothesis Testing

Simple linear regression was used to test both hypotheses of this study . The first model tested the relationship between financial literacy and compliance behaviour. The second model assessed the impact of accounting software usage on financial reporting practices.

8.1 Financial Literacy and Compliance Behaviour

The first hypothesis of the study stated that financial literacy has a significant positive relationship with compliance behaviour of SMEs in the Raipur region. The regression output is presented below.

Table 5. Model Summary for Financial Literacy and Compliance Behaviour

Predictor	Dependent variable	R	R^2	Adjusted R^2	F-value	p-value
Financial literacy	Compliance behaviour	0.612	0.374	0.366	46.62	< 0.001

Note. Significance was assessed at the 5% level.

Table 6. Regression Coefficient for H1

Predictor	Standardised beta	t-value	p-value	Decision
Financial literacy	0.612	6.83	< 0.001	Supported

The value of R was 0.612, denoting a moderate positive association between financial literacy and compliance behaviour. The R^2 value of 0.denotes that financial literacy explained 37.4% of the variation in compliance behaviour among the sampled SMEs. The model was statistically significant, as shown by the F-value of 46.62 and $p < 0.001$.

The standardised beta coefficient was 0.612 and the t-value was 6.83, with $p < 0.001$. Therefore, H1 is accepted. This implies that SMEs with higher financial literacy are more likely to maintain proper records, understand GST and tax obligations, file returns on time and follow statutory procedures.

8.2 Accounting Software Usage and Financial Reporting Practices

The second hypothesis proposed that accounting software usage has a significant positive effect on financial reporting practices of SMEs in the Raipur region. The regression results are given below.

Table 7. Model Summary for Accounting Software Usage and Financial Reporting Practices

Predictor	Dependent variable	R	R^2	Adjusted R^2	F-value	p-value
Accounting software usage	Financial reporting practices	0.684	0.468	0.461	68.61	< 0.001

Note. Significance was assessed at the 5% level.

Table 8. Regression Coefficient for H2

Predictor	Standardised beta	t-value	p-value	Decision
Accounting software usage	0.684	8.28	< 0.001	Supported

The correlation value of $R = 0.684$ indicates a strong positive relationship between accounting software usage and financial reporting practices. The R^2 value of 0.468 shows that software usage explained 46.8% of the variation in reporting practices. The F-value of 68.61 was statistically significant at $p < 0.001$, demonstrating that the model was effective.

The standardised beta coefficient was 0.684 and the t-value was 8.28, with $p < 0.001$. Thus, H2 is accepted. The data study suggests that SMEs using accounting software are more efficient to record transactions accurately, update records promptly, prepare statements systematically and maintain GST-related information .

9. Discussion

With the data analysis we came to the conclusion that where the level of financial literacy is high among business owners , manufacturer and employees there was significant more compliance to the regulations standards. The standard related to accounting principles, payment of tax , and reporting procedures. There was less risk of non compliance associated with the high level of financial literacy.

The hypothesis of the study is accepted. This indicates that in business decisions taking is significantly affected by financial literacy of SMEs

SMEs organise sales, purchase, expenses, inventory records, debtors creditor data is better recorded when there is better adoption and implementation of accounting software. This showed significant up gradation of accounting practices as a outcome of implementation of accounting software. Hypothesis 2 acceptance showed reductions on the dependency of informal manual entries. This also increases availability of information for effective decisions making.

The model used for the study showed strong practical influence of the accounting software have influence on day to day quality of reporting. Financial literacy and accounting software usage should be increased by promoting training, spreading awareness of accounting usage.

10. Conclusion

Finally, this study reveals that the use of financial literacy software and accounting software are significant determinants of the enhancement of SME reporting and compliance in Raipur region. This sampling was for the trading, manufacturing, service and retail enterprises with many of them operating for 5-10 years. There is a clear shift towards the digital form of accounting because a significant proportion of SMEs adopted manuscript or mixed method or software.

The descriptive of finding showed that the financial literacy, compliance behaviour and financial reporting practice are found to be moderate and high and relatively usage of high accounting software were found. Regression results verified that financial literacy is positively and significantly related with compliance behaviour while use of accounting software is positively and significantly related with financial reporting practices. Both hypotheses were supported at the 5% of significance level.

However, the evidence indicated that SMEs who have more knowledge about finance are more capable in understanding and implementing the accounting, taxation, GST and statutory requirements. Likewise, the SMEs that utilize the accounting program are more inclined of creating precise, systematic and punctual accounting records. The study thus emphasizes the importance of financial literacy programmes, training in

Accountancy, Digi book-keeping and augmentation of awareness of the compliance requirement of SMEs of Raipur region.

11. Suggestions.

First, financial literacy workshops should be conducted, practically by local industry bodies, banks and government agencies to financial staff and owners of SMEs. These workshops provide greater insight into the aspects of bookkeeping, GST filing, income tax being in compliance with regulations, interpretation of financial statements and basic internal control practices.

Secondly, SMEs should do their best to embrace cost-effective accounting software solutions that are functionally practical for their company's scale. Workshops should concentrate on software set-up, and on proper data entry, periodic checking, report preparation and back-up of accounting data.

Third, encourage the use of a financial report by the entrepreneur for business planning and not just for tax filing or loan applications when regular periodics are conducted between the SME and the accountants / consultants. This would slowly move towards more compliance and a larger involvement by management.

Finally, future studies can look at using progressively more advanced statistical methods to gain insights into the combined impact of financial literacy, use of accounting software, implementation of internal controls and the professional assistance on financial report quality.

References

- Antoni, A. (2025). The effect of accounting competencies, information systems, and compliance on the quality of MSME financial reporting through accountability. West Science Business and Management, 3(3). https://doi.org/10.58812/wsbm.v3i03.2241
- Asaduzzaman, M. (2017). Accounting and financial reporting practices of SMEs: Bangladesh perspective. Malaysian Journal of Business and Economics. https://doi.org/10.51200/mjbe.v0i0.544
- Atarwaman, R. J. D., Prabowo, M. S., Gomies, N. E., Thahir, P. Z., & Kabalmay, M. A. (2026). The meaning of financial reporting for MSMEs: A phenomenological study of behavioral aspects in compliance and decision making. Multidisciplinary Indonesian Center Journal, 3(1). https://doi.org/10.62567/micjo.v3i1.1911

- Jamil, N. N., Ramli, N. M., Marzuki, A., & Ahmad, N. N. (2021). Compliance factors of Malaysian Private Entity Reporting Standard (MPERS) by small medium enterprises (SMEs). International Journal of Financial Research, 12(3), 149. https://doi.org/10.5430/ijfr.v12n3p149
- Pratama, F. F., Angelia, A., Aprilia, C., Nurhaliza, I., Dewi, S., & Dumawan, C. (2025). Systematic literature review: Financial literacy, technology, and corporate governance for MSMEs reporting quality. Profit, 9(1). https://doi.org/10.33650/profit.v9i1.11200
- Rajamani, K., Jan, N. A., Subramani, A. K., & Raj, A. N. (2022). Access to finance: Challenges faced by micro, small, and medium enterprises in India. Engineering Economics, 33(1). https://doi.org/10.5755/j01.ee.33.1.27998
- Relhan, A. (2013). E-accounting practices of SMEs in India. OM Institute of Management & Technology E-Journal.
- Shabarisha, N., & Manjunatha, K. S. (2013). International financial reporting standards for small and medium enterprises in India: A tentative study. Social Science Research Network.
- Thadeus, O. O., Simiyu, G., & Ombaba, M. K. B. (2023). Accounting practices, financial literacy and financial performance of micro, small and medium enterprises. Journal of Business and Management Review, 4(9). https://doi.org/10.47153/jbmr49.7942023
- Widiyastuti, T., Morales, E. F., Suprapta, I., Lubis, Z., & Siregar, M. R. (2025). Analysis of accounting understanding, accounting information systems and internal control systems on the quality of financial reports. Jurnal EMT KITA, 9(3). https://doi.org/10.35870/emt.v9i3.4698